



eabl

HALF YEAR
RESULTS 2015

13TH FEBRUARY



OUTLINE OF THE HALF YEAR RESULTS BRIEFING

F15 Half Year Review

Charles Ireland

Financial Performance

Tracey Barnes

Summary & Outlook

Charles Ireland

Q&A



F15 HALF YEAR REVIEW

Charles Ireland
Group Managing Director



EABL has a stretching ambition and is well- positioned to achieve it

To create the **best performing, most trusted and respected consumer products company in Africa**

- ☐ Strengthen and accelerate our premium core brands
- ☐ Win in reserve in every market
- ☐ Innovate at scale to meet new consumer needs
- ☐ Build and then constantly extend our advantage in route to consumer
- ☐ Drive out cost to constantly invest in growth
- ☐ Guarantee our plans with the right people and capabilities



Since 1922...



We achieved Net Sales growth of 9%

	KES b'n	vs LY
Net Sales	34.8	+9%
Cost of Sales		+9%
Gross Profit		+9%
Profit Before Tax	6.8	+12%



All markets delivered robust NSV growth

	Contribution to Overall EABL	HY Growth	Key Brands
KENYA	61%	+3%	    
UGANDA	18%	+7%	   
TANZANIA	12%	+17%	   
EABLi	9%	+118%	   
Total EABL	100%	+9%	

Good growth in all product segments (except emerging beer)

Emerging Beer



-12%

Excl Senator +15%

Mainstream Beer



+8%

RTDs



+59%

Premium Beer



+18%

Emerging Spirits



+28%

Mainstream Spirits



+7%

Premium Spirits



+32%

Reserve Spirits

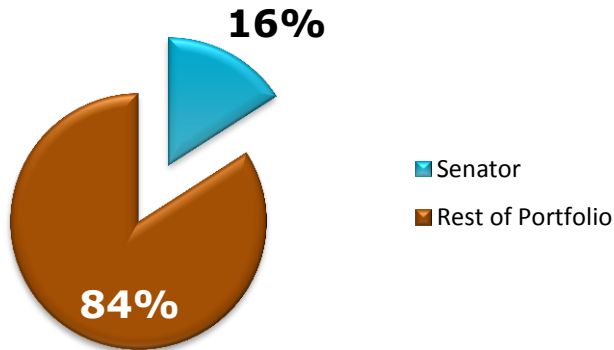


+67%

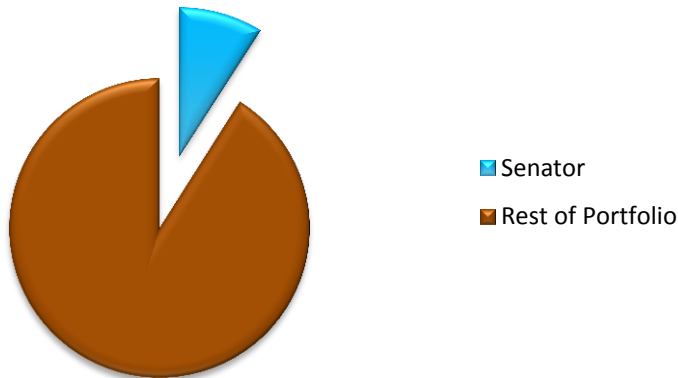
Senator is now of marginal importance

H1 F13 Pre-duty increase

Share of NSV:

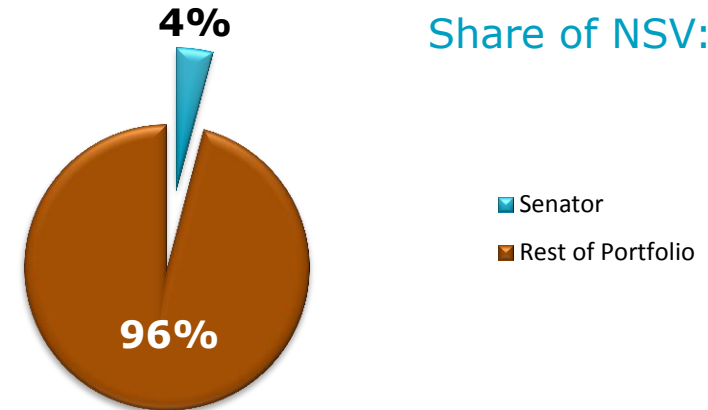


Gross Contribution:

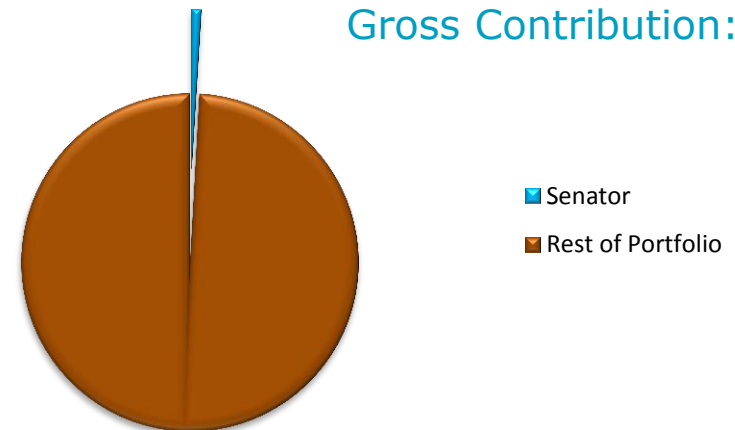


H1 F15- Post duty increase

Share of NSV:



Gross Contribution:



Kenya: +3%

Very strong Q2

- ❑ Premium beer net sales grew by **13%** mainly due to the strong Guinness performance

- ❑ Strong growth in emerging spirits category (**+82% NSV**) due to Jebel innovation and Kane Extra

- ❑ **Smirnoff Guarana** drove growth in RTD category

- ❑ However mainstream beer is behind last year by **4%**



Excluding Senator
Kenya net sales

+11%



The New
Smirnoff Ice
Guarana and
New Tusker Lite
pack well
received



Reserve brands
on a healthy
growth
trajectory

**Uganda:
+7%**

Uganda delivered good performance, despite FX challenges

- ❑ **Uganda Waragi** drove overall spirits volume growth

- ❑ Improving performance on **Bell**

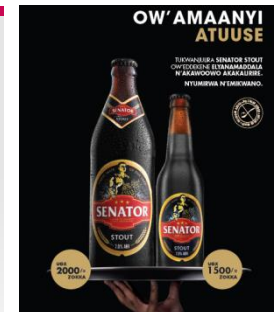
- ❑ Strengthening of the US dollar against the Uganda shilling resulted in negative FX impact



Innovation driven by the new **Senator Stout**

Waragi volumes up

32%



Bell Lager introduced new consumer campaign – **Welcome to the Bell Nation**

**Tanzania:
+17%**

Emerging beer supported double digit net sales growth

- ❑ Strong growth in emerging beer category at **driven by Kibo Gold Lager**



Kibo Gold volumes up

+++

- ❑ Successful launch of **Jebel Coconut**



Jebel Coconut
successful innovation



- ❑ **Serengeti Platinum** gaining momentum

- ❑ **Reserve and International Premium Spirits** growing rapidly



Reserve brands
rapid growth



**EABLi: +
118%**

Premiumisation, success of can formats and good mix

- ❑ Strong mix in H1 driven by **premium beer and premium spirits**
- ❑ The **move to cans** and **local presence in Juba** have boosted growth
- ❑ Very strong performance in **South Sudan** constrained by availability of dollars
- ❑ Slower progress in Rwanda and Burundi
- ❑ **Currency challenges** may continue to impact in H2



Currency challenges in H1



We continue to invest in our future growth



CAPEX

- ❑ CGI Furnace rebuild at a cost of ~KES 1bn
- ❑ KBL standby generators, ~ KES 0.5bn
- ❑ In Uganda, effluent treatment plant upgrade ~ KES 0.4bn

Drive out Costs

- ❑ Embedded organisation change
- ❑ Procurement savings
- ❑ Ownership mindset

Optimizing our Route to Consumer



Build & Constantly Extend

- ❑ Expand number of outlets called directly
- ❑ Drive availability and influence in directly called outlets
- ❑ Build sustainable distributor partners (EABL)
- ❑ 150 motorbikes selling to 4800 outlets (Kenya)
- ❑ Sales force automation (EABL)
- ❑ Spirits vans for distributors fleet(Kenya/Uganda)
- ❑ Recruited 583 unlicensed outlets (Kenya)
- ❑ RTC diagnosis and design (EABLi)



Our investment in People and Communities underpins our business objectives

- ❑ **Multi-year talent programme** linked to our performance ambition
- ❑ **Amazing line manager programme** for our top people managers
- ❑ Investing in programs that are close to our **farming communities**
- ❑ Investment in nationwide community initiatives such as **Beyond Zero**
- ❑ **Alcohol in society** activities around peak season



400+

EABL employees on accelerated development programmes at entry, mid career & senior leadership levels



Award-winning Responsible Drinking initiatives



Clean and safe water for **80,000+** residents of Mkamba, Temeke District, Tanzania

We are working hard to improve the performance of our core beer brands

Areas requiring further development



- ☐ Core beer brands growth
- ☐ Improve our planning processes
- ☐ Impact of excise on Senator performance
- ☐ Weakening East Africa currencies

Turnaround of our Tanzania business is a H1 highlight for EABL

H1 Highlights



- ❑ Innovations: Smirnoff Ice Guarana, Senator Stout, Liberty, Platinum Serengeti Lager, Jebel Special, Jebel Gold and Jebel Coconut...



- ❑ Continued momentum in spirits: +35%
- ❑ Implementation of the initiatives to improve route to consumer: Kaskazi, Gold Trial, Sortie, Seals...



- ❑ Roll out of Amazing Line Manager Programme now adopted by Diageo as a global initiative



- ❑ Improved performance in Tanzania

Thank You

Please hold the questions to the end





FINANCIAL PERFORMANCE

Tracey Barnes
Group Finance
Director

EABL Profit After Tax grew by 11%

	KES b'n	vs LY
Net Sales	34.8	+9%
Cost of Sales		+9%
Gross Profit		+9%
Profit After Tax	4.6	+11%



Growth in revenues from all markets and all product categories except value beer

- Kenya bottled beer grew by 5% mainly driven by **Guinness**.

- Uganda spirits** grew by 28%

- Substantial growth of **Kibo Gold** in Tanzania.

Financial Report Half Ended 31st December 2014			
EABL Consolidated Income Statement	31-Dec-14	31-Dec-13	Growth %
	<u>KES M</u>	<u>KES M</u>	
Net Revenue	34,768	31,858	9%
Cost of Sales	(17,657)	(16,127)	9%
Gross Profit	17,111	15,731	9%
Selling and Distribution costs	(3,188)	(3,047)	5%
Administrative expenses	(4,397)	(4,507)	-2%
Other operating income / (expense)	(536)	(50)	980%
Operating Profit	8,990	8,127	11%
Net Finance income / (costs)	(2,187)	(2,043)	7%
Profit before taxation	6,803	6,084	12%

KES 1.3 bn savings delivered in cost of sales

❑ Savings from the drive out costs include:-

- Improved raw materials usage
- Increased use of **local raw materials**
- Low heavy fuel **oil prices**
- Improvement on waste levels, utility usage and product quality

❑ The higher proportion of bottled beer is driving the increase in cost of sales.

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Continued investment in Selling & Distribution and good management of overheads supporting H1 growth

- ❑ Selling and Distribution costs are 5% above last year as we continue to invest ahead

- ❑ Administrative expenses **improved by 2%** benefitting from last year's reorganisation

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Increased finance costs driven by higher borrowings

- Total group borrowings increased by KES 5.5b in H1 to fund operations and capital expenditure.

- **Net reduction** in average interest costs by 7%

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Effective tax rate flat against last year

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Profit before taxation	6,803	6,084	12%
Income tax expense	(2,181)	(1,923)	13%
Profit after taxation	4,622	4,161	11%
Non Controlling interest	(479)	(212)	126%
Profit attributable to Equity holders	4,143	3,949	5%

Proposed dividends

Proposed Dividends	KES/Share
Interim Dividend	1.50



SUMMARY & OUTLOOK

Charles Ireland
Group Managing Director

Summary: In H1 we delivered a solid performance

- ❑ Q1 was strong, Q2 stronger

 - ❑ All markets are in growth with Tanzania moving into profitability

 - ❑ All product sectors (ex value beer) are in growth

 - ❑ Senator is now of only marginal importance

 - ❑ We are confident we have a winning strategy which we will pursue with even greater determination in H2 and beyond
-

Q & A Session



- END -



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- the effects of EABL or Diageo's strategic focus on premium drinks, the effects of business combinations, partnerships, acquisitions or disposals, existing or future, and the ability to realise expected synergies and/or costs savings;
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- changes in consumer preferences and tastes, demographic trends or perception about health related issues, or contamination, counterfeiting or other circumstances which could harm the integrity or sales of EABL or Diageo's brands;
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- changes in political or economic conditions in countries and markets in which EABL or Diageo operates, including changes in levels of consumer spending, failure of customer, supplier and financial counterparties or imposition of import, investment or currency restrictions;
- levels of marketing, promotional and innovation expenditure by Diageo and its competitors;
- renewal of supply, distribution, manufacturing or licence agreements (or related rights) and licenses on favourable terms when they expire;
- termination of existing distribution or licence manufacturing rights on agency brands;
- disruption to production facilities or business service centres, and systems change programmes, existing or future, and the ability to derive expected benefits from such programmes;
- technological developments that may affect the distribution of products or impede EABL or Diageo's ability to protect its intellectual property rights; and
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